



Karnataka Export Chronicle

QUARTERLY NEWSLETTER ▶

JANUARY TO MARCH 2025

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Perspective



B.K. Shivakumar
Director (Exports) &
Managing Director

News to cheer! A peek into Karnataka's export performance during Apr-Dec' 2024-25 in comparison to a similar period of the previous year is indeed heartening and suggests a positive surge in growth indicators! Overall exports registered 13.51% growth, with Service exports and Merchandise exports having clocked 13.52% and 13.50% growth respectively. Sectors like Coffee, Engineering, Spices, Plastic Goods, Chemicals and Allied and Optical and other instruments witnessed positive trend in exports.

At the coveted **Global Investors Meet** hosted by Government of Karnataka between 11th to 14th Feb'25, held at the iconic Bangalore Palace Grounds, VTPC leveraged the opportunity to showcase **"Kala Loka: The Treasures of Karnataka"**, as a curtain raiser to the setting up of an exclusive Karnataka Pavilion housing GI tagged and other exquisite, heritage products of the State to provide impetus to artisans of the State at Terminal-2 of KIAL, that is on the anvil. The initiative witnessed large footfalls and appreciation of the upcoming initiative by key representatives from industry and Government.

It was a proud moment for Karnataka, having added a new GI tagged product to its GI basket – **'Patteda Anchu Saree & Fabrics'** a 200 year ancient textile weave, under the handicrafts classification, from the Gajendragadd region of Karnataka! With this, Karnataka's GI tagged products stands at 49 numbers, with new and potential GI products being constantly identified and filed from the State.

In this edition of **Karnataka Export Chronicle**, we present Qatar as the Focus Country and Rice as the **Focus Product**. Learn about **'Hadagalli Mallige'**, a unique and fragrant Jasmine, a GI tagged crop under the agricultural segment in the **GI Spotlight** Section and the inspiring story of a successful farmer behind the crop!

Stay updated to all that's happening in the international trade landscape through your very own medium - **Karnataka Export Chronicle** and share your thoughts on how we could together add value to this burgeoning space.

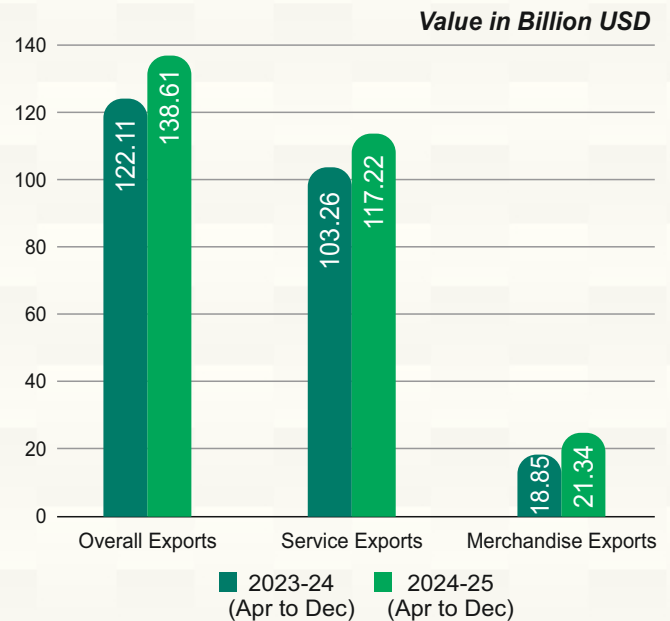
1 Karnataka's Export Performance

2024-25 (April to December) as compared to 2023-24 (April to December).

A comparison of the export performance of two quarters between April to Dec'24 over a similar period of April to Dec'23 suggests the following trends:

- Overall exports have registered 13.51% growth.
- Service Exports have shown 13.52% rise in exports.
- Karnataka Merchandise Exports have shown a positive trend with an increase of 13.50% growth.
- Coffee, Engineering, Spices, Plastic Goods, Chemicals and Allied and Optical and other instruments products have shown positive trend in exports.
- A reduction in exports has been observed in the case of Iron Ore and Minerals, Agriculture and Processed Food and Leather products.
- Export performance during the period April to December 2024-25 suggests that out of 30 districts across the State, a total of 8 districts namely; Dharwad, Chamarajanagar, Mysuru, Bengaluru Urban, Chikkamagalur, Belagavi, Raichur and Dakshina Kannada districts have performed more or less in line with similar performance recorded during April to December 2023-24.
- 10 districts namely Kolar, Kodagu, Bengaluru Rural, Chikkaballapura, Mandya, Bidar, Tumakuru, Shivamogga, Hassan and Ramanagara districts have increased their exports substantially.

- 12 districts namely Chitradurga, Bagalkote, Koppal, Uttara Kannada, Gadag, Kalaburagi, Vijayapura, Ballari, Udupi, Yadgiri, Davanagere and Haveri districts recorded decline in exports.



TOP EXPORT MARKETS

1st, 2nd & 3rd Qtr 2024-25



USA

5024.52 MN \$



UAE

1458.23 MN \$



Netherlands

1477.81 MN \$



South Africa

691.22 MN \$



Malaysia

597.60 MN \$

TOP EXPORTED COMMODITIES

1st, 2nd & 3rd Qtr 2024-25



Electrical Machinery
& Equipment
5046.50 MN \$



Petroleum
4147.27 MN \$



Nuclear Reactors
1953.09 MN \$



RMG & Accessories
1104.61 MN \$



Coffee
849.62 MN \$

2 Exim Notifications

4th Quarter (2024-25)

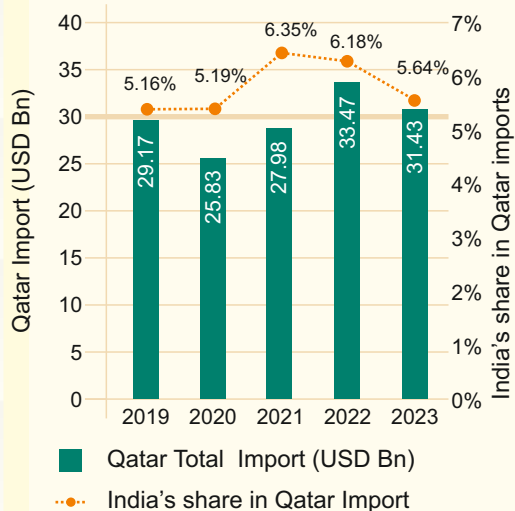
- Procedure for export of certified organic products: Vide Notification No.39/2024-25 dated 05.01.2025.
- Amendment in Export Policy of De-Oiled Rice Bran: Vide Notification No.56/2024-25 dated 04.02.2025.
- Amendment in Export Policy of Raw Human Hair: Vide Notification No.59/2024-25 dated 10.02.2025.
- Extension of the last date for filing Annual RoDTEP Return (ARR) for Financial Year 2023-24: Vide Notification No.51/2024-25 dated 19.03.2025.



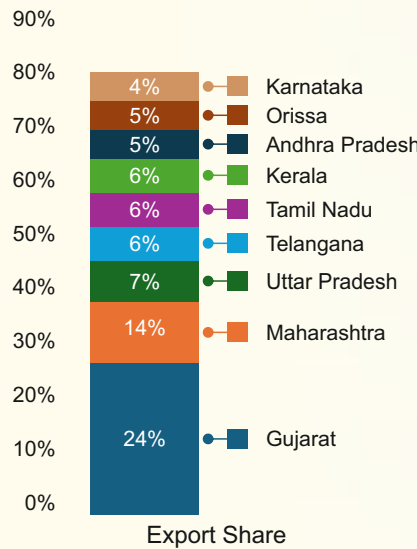
3 Focus Country: Qatar

Qatar imports are valued at **USD 31.12 Bn as of 2024**, ranking the **4th largest economy (as per capita GDP PPP) in the world**, witnessing growth of 7% over the last 4 years. India's imports in Qatar are estimated at **USD 1.78 Bn**, comprising **5.7% of total imports**.

1 Qatar's Total Import from World & India's share in Qatar imports#



2 Top States contribute to 77% of exports from India to Qatar*



3 Top Sectors contribute to 60% of India's exports to Qatar#

HS Code	Product	% Share
10	Cereals	8.77%
71	Precious Stones	7.99%
73	Articles of Iron & Steel	7.09%
84	Machinery & Equipment	7.00%
85	Electrical Machinery	6.79%
87	Automobiles	6.49%
27	Mineral Oils	4.23%
07	Edible Vegetables	3.32%
61	Knitted Clothes	3.18%
39	Articles of Plastic	2.89%

Major Imports by Qatar - Worldwide FY 2024*

HS Code	Product	Qatar Total Imports	% Share
84	Machinery & Equipment	6,569.89	21.11%
87	Automobiles	3,307.46	10.63%
88	Aircraft	2,361.71	7.59%
71	Precious Stones	2,153.69	6.92%
85	Electrical System Design Manufacturing Products	2,121.15	6.82%
73	Article of Iron & Steel	1,658.30	5.33%

Karnataka Exports to Qatar FY 2024*

HS	Product	Karnataka Exports	Qatar Total Imports
87	Automobiles	13.46	3,268.15
84	Machinery & Equipment	8.25	6,574.59
27	Mineral Oils	7.22	434.55
90	Optical & Medical Equipment	4.33	794.08
10	Cereals	3.68	259.46
08	Edible Fruits	3.26	187.63

(Value in Mn USD)

Focus Products for Exports to Qatar

- Trade Trends:** India's export to Qatar has witnessed a growth of 7% & Karnataka, being the 8th largest state exporting to Qatar, accounts for USD 55.90 Mn as of FY 2024.#
- Key Products:** Karnataka's share in exports in FY 2024# to Qatar includes Automobiles, Machinery, Mineral Oils, Optical & Medical equipment, Cereals and Edible Fruits, accounting for 72% of overall exports.
- Potential Products witnessing High Growth:** Emerging products with high growth with CAGR of last 5 years from 2020 - 24# include ships and boats (226%), Laminated Textile Fabric (55%), Cork and its articles (50%), Base Metals (43%), Medical Equipment (41%), Tin and its articles (39%), Dairy Products (35%), etc.

Jan - Dec *(FY & For FY 2024 till Feb 25)

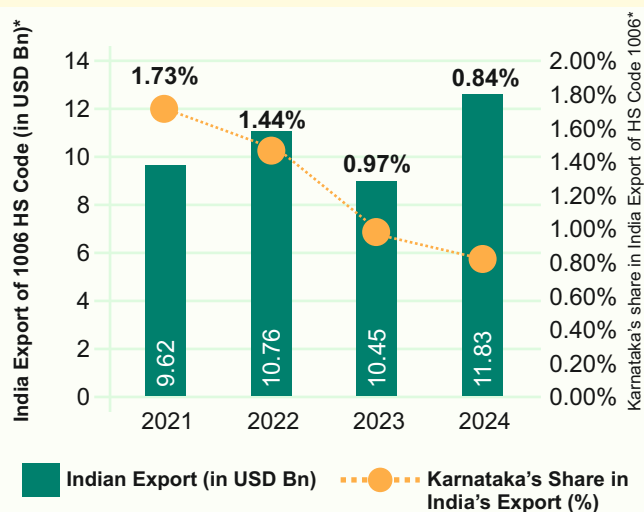


4 Focus Product for Export: Rice (HS 1006)

India accounts 30.3% of global rice exports estimated at an average of USD 11.83 Bn with some of the top importers contributing to 50% of rice imports including Saudi Arabia, Iraq, Benin, Iran, UAE & Guinea estimated at USD 4.89 Bn in 2024.

1 India and Karnataka's contribution of Rice Exports at Global Level*

Global Imports#	2021	2022	2023	2024
	29,226	33,979	34,798	38,317



2 Top Importers of Rice across the World

Average Imports
USD 10.69 Bn (2021-24)*

Qatar	1.42%
Vietnam	2.28%
Yemen	3.42%
USA	3.27%
Togo	3.54%
Ivory Coast	3.92%
Guinea	4.10%
UAE	4.19%
Iran	6.00%
Benin	7.33%
Iraq	7.89%
Saudi Arabia	12.02%

Share in World Import

In India, Karnataka produces 4 million metric tons of rice per year. Further, exports of rice from Karnataka are estimated at USD 99 Mn, comprising approx. 0.84% of the overall average exports from India from FY 2021-24.

3 Key Rice Exports varieties from Karnataka - Top Trade Partners and Sub Products at 8 Digit Level

- Rice exports from Karnataka have witnessed a **slight decline of 0.89% share in India's Export** from USD 166 Mn in FY 2021 to USD 99 Mn in FY 2024*
- Key trade partners accounting for ~60% of overall exports include **Singapore (29%), UAE (20%), and Kenya (11%) in FY 2024***
- Top 3 markets where Karnataka exported rice worth more than \$5 Mn with highest growth rate of CAGR 3 years (FY 2022-24*) or rice exports over last year include **Mozambique (914%), UAE (75%) and Kenya (48%)**
- Some of the prominent rice varieties from Karnataka contributing significantly to export are of **Abhilasha, Bhagyajyothi, Budda, Intan and Jaya**

HS Code	Product	Export Value*	% Share
10061090	Other rice in husk	0.0008	0.001%
10062000	Husked (Brown) rice	0.14	0.149%
10063010	Rice parboiled	41.01	41.416%
10063020	Basmati Rice	2.84	2.876%
10063090	Rice except parboiled (excluding basmati rice)	55.01	55.558%
Total Exports of Rice (HS 1006) as of FY 2023-24*		99.02	100%

Values in USD Mn

Jan - Dec
*(FY & For FY 2024 till Feb 25)

5 Key Initiatives/Meetings in Export Promotion



MD VTPC was the Guest of Honour at the 2 days National Workshop on Wooden Toys, 24th Feb'25, Chitrakala Parishad



VTPC represented at the Export Preparedness Index 2022-24, Preparatory Workshop, NITI Aayog, 28th Feb'25, New Delhi



'Cliktronika', organised in association with Clik, 6th Feb'25, CMTI, Bengaluru



Seminar on Engineering Export Opportunities by EEPC India and Peenya Industries Association (PIA), 20th Feb'25, PIA, Bengaluru

6 Exhibitions & Fairs

EAP, 20th Feb'25, EEPC India Program



11th Edition of E-commerce Supply Chain Conference, organised by CII, 24th Jan'25, Hotel Sheraton Grand



GI Samagam, 22nd Jan'25, Bharat Mandapam, New Delhi



Curtain Raiser of FKCCI celebrations of 17th Edition of Manthan, 8th Jan'25, FKCCI, Bengaluru

Run up to 'Kala Loka – Treasures of Karnataka' initiative at T2 of KIAL Global Investors Meet, 11th to 14th Feb'25, Palace Grounds, Bengaluru



VTPC, on behalf of the Department of Industries & Commerce set up a stall – 'Kala Loka-Treasures of Karnataka', at the Global Investors Meet (GIM) 2025, held between 11th to 14th Feb'25, at Palace Grounds, Bengaluru, as a run up to the Karnataka Pavilion being set up at T2 of KIAL to showcase the GI tagged and other traditional/artisanal products of the State. Six Govt.agencies that are part of this initiative including KSHDCL, KSIC, Coffee Board, KS&DL and LIDKAR displayed their unique array of products as a precursor to the setting up of the Karnataka Pavilion envisaged at BIAL. The stall attracted large footfalls with the visit of authorities at the helm in Govt., including the Deputy CM of Karnataka, Hon'ble Minister for LMI, Chief Secretary and several other key officials, besides Google X Founder, among others having graced the Pavilion.

7 Capacity Building Programs (Exports)

Export Management Training Programs (EMTP)



128th EMTP, 3rd to 8th March '25, Bengaluru



127th EMTP, 20th to 25th Jan'25, Belagavi

Export Awareness Programs (EAP)



VTPC represented at the 'Business Workshop for Entrepreneurs in Karnataka' between 20th-21st March, organised by CII in association with KCCI, Hubballi



VTPC represented at the 'Forex for You' Interface program organised by RBI, 12th Mar'25, Fairfield Marriott Hotel, Belagavi



EAP, 10th Mar'25, EDP at Awake



EAP, 28th Feb'25, Mangalore



EAP, 5th Feb'25, Nelamangala, Bangalore Rural



EAP, 3rd Feb'25, EDP Awake



EAP, 29th Jan'25 Belagavi



EAP, 23rd Jan'25 Bagalkote



EAP, 22nd Jan'25, Vijayapura



EAP, 18th Jan'25, Sirsi



EAP, 9th Jan'25, Chikkaballapura

8 Capacity Building Programs (IPR)



GI Panel Discussion at the National Workshop on Wooden Toys, 25th Feb'25, Chitrakala Parishad



Sensitisation Program on IPR in association with Christ University, 19th Feb'25, Bengaluru



Program on IPR with spotlight to Geographical Indications, in collaboration with Government First Grade College, 18th Feb'25, Bengaluru.



Workshop on Innovation and IP in collaboration with Dayanand Sagar Academy of Technology and Management, 14th Feb'25, Bengaluru.



Sensitisation Program on IPR and its significance in academia and business, in collaboration with Surana College 17th Jan'25, Bengaluru.



MDP on IPR in collaboration with New Horizon College, 11th Jan'25, Bengaluru.

Other Key Meetings

- 9th Jan'25: MD VTPC represented at the meeting during the visit of the Parliamentary Standing Committee on Commerce to Bengaluru
- 30th Jan'25: MD VTPC represented Karnataka at the Stakeholders Consultation with States on "Investment Friendly Charter for States" organised by NITI Aayog, Windsor Place, New Delhi

Karnataka gets a new G.I tag!

The Geographical Indications (G.I) Registry, Govt. of India has granted a G.I tag to **“Patteda Anchu Sarees & Fabrics”** – a new G.I from the Gajendragadd district of Karnataka. With a rich history of over 200 years, the ancient textile weave reflects the dexterity of the weavers of the region who have nurtured the skills and ingenuity over the years. The G.I tag was facilitated jointly by VTPC, on behalf of the Department of Industries & Commerce and the Department of Handlooms & Textiles, Government of Karnataka. With this Karnataka’s total number of G.I tags numbers 49 (45 GI products and 4 GI Logos).



Karnataka’s GI products showcased in Brazil



The **‘Embassy Connect’** initiative provided a unique platform for showcasing the ingenuity of the artists/artisans of few select GI tagged and other heritage products of the state in Sao Paulo, Brazil. The Indian Mission in Brazil evinced interest in Karnataka’s exquisite legacy products, which were showcased at India’s One District One Product (ODOP)



Exhibition held in Sao Paulo, Brazil. Some of these products included GI tagged products like Channapatna Toys & Dolls, Bidriware, Mysore Rosewood Inlay, Mysore Traditional Paintings, besides Sandalwood and Shivani wood gift items among others from Cauvery Handicrafts.

Exporter Echoes

I have attended the 79th export training program at VTPC Bengaluru. After the training program I started scouting for export opportunities in Agricultural commodities & Auto components and I have got the order for Auto components order (2 & 3-wheeler spare parts) from Central America (Mexico). I have executed the order of 20 lakhs and received the payments also under LC terms. Further, I am looking for future orders from the buyer and trying for agricultural commodities order also. So thank you VTPC for the support from your side during the training & guiding me for executing my first order and I expect the same in future also.

- Murali, Shoba International Traders, Bengaluru

9 GI Spotlight: Hadagalli Mallige



A special fragrant variety of jasmine grown in HoovinaHadagali and surrounding areas across the Ballari district in Karnataka, **Hadagalli Mallige** was accorded the GI tag in the year 2006.

Hoovina Hadagali means 'the village of flower boats.' The historical origins of this jasmine variety can be traced to the 15th century period when the Vijayanagar empire flourished and flowers for its temples and palaces were floated down the Tungabhadra River from this place.

The unique features of this jasmine variety include its striking fragrance, mild volatile oil, sandy red soil, dry weather with good water supply – factors that make it congenial for the cultivation of the crop. On an average each farmer grows this crop in one acre of land and is propagated mainly through cuttings.

Farm Yard Manure (FYM) is incorporated while ploughing the land and ridges and furrows are formed. This unique type of FYM is prepared with the locally available weed species

and branches of the neem tree and provides the nutritional requirement to the crop and also maintains robust soil health.

On an average every day 100 quintals of flowers are transported from HoovinaHadagali to other places such as Hubballi, Shivamogga, Lakshmeshwara etc. A large chunk of women workers are dependent on this jasmine variety for their livelihood.



10 GI Artisan Corner

Meet K.M Shivaprakash, a seasoned grower of Hadagalli Mallige and backed by a rich, long-standing family history and cultural legacy in jasmine cultivation. Having actively taken the plunge more than 50 years ago, Jasmine, he prides is an "integral part of who we are, not just a crop and the scent of jasmine meant survival even in difficult times like the drought of 1974 for one!" He opines that Jasmine has always been their pillar and a great financial boon and safety net, having all along guaranteed minimum income for sustenance even in years when paddy or another field crop failed. Jasmine has truly been their 'insurance', not just a flower!

Sharing challenges that go with any initiative, Shivaprakash reflects that from an era where they could sell flowers directly in the neighbourhood markets with no middlemen, they are currently saddled with severe labour shortages, heavy reliance on chemicals or pesticides, decreased acreage, soil fatigue, shifting weather patterns, with the result that the fraternity can now harvest only 30-32 kg per acre instead of the nearly 70 kg in the past. Further, flower-picking activity in jasmine cultivation has become rare which poses a severe bottleneck. Shivaprakash laments that several growers till date lack knowledge on how to maximise their floral value and hence it's important to generate awareness, foray new markets, invest in value addition and leverage technology to mitigate risks. And he has precisely endeavoured to spread such concepts through Radio



Shows to encourage young farmers to be creative and informed.

Shivaprakash avers that marketing, research and training initiatives need to be stepped up to promote GI tagged products like Hadagalli Jasmine. He believes that export facilitation, organic input subsidies and awareness campaigns would all be very beneficial. He is convinced that Research is the key to create climate-resilient jasmine cultivars and prepare farmers for adaptation. What's his message to the jasmine fraternity? Branding together, marketing through FPOs for better price negotiation, investing in shared infrastructure like transportation or cold storage and effective packaging are key strategies for success. And undoubtedly, value addition – that's where he believes the future lies and hence value-added products like natural air fresheners, oils, soaps and perfumes could help enlarge the product basket and garner commercial returns.



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